

HOW TO OPEN A CAFE IN INDIA

The Money. The Steps. The Risks.

A concise playbook for first-time cafe owners in India. Inspired by TeaPost — a Rs 70 crore chai cafe chain built from one outlet in Rajkot, Gujarat.
Research by @iamsatyavyas | May 2026

01. THE MONEY

Before anything else, know what you are getting into financially. The numbers below are for a lean 300-400 sqft chai and snack cafe in a Tier 2 city. Tier 1 city numbers are 2x to 3x higher.

Setup Investment

Cost Head	Tier 2 City	Tier 1 City
Security Deposit (6-12 months rent)	Rs 60,000 - 1,50,000	Rs 2L - 5L
Interior & Fit-out	Rs 2L - 4L	Rs 5L - 15L
Kitchen Equipment	Rs 1.5L - 3L	Rs 3L - 8L
Furniture & Fixtures	Rs 75,000 - 1.5L	Rs 1.5L - 4L
Branding & Signage	Rs 30,000 - 75,000	Rs 75,000 - 2L
Licenses (FSSAI, GST, Trade, Fire NOC)	Rs 15,000 - 30,000	Rs 30,000 - 60,000
Initial Inventory (Month 1 stock)	Rs 50,000 - 1L	Rs 1L - 1.5L
POS + Tech Setup	Rs 15,000 - 30,000	Rs 20,000 - 50,000
Working Capital Buffer (3 months)	Rs 1.5L - 2.5L	Rs 3L - 6L
TOTAL	Rs 7L - 15L	Rs 20L - 45L

Monthly P&L (Tier 2 City, 300 sqft, Chai + Snacks)

Assumptions: Average ticket size Rs 100. 26 operating days. Rent Rs 25,000/month. Two staff members.

Line Item	80 Customers/Day	120 Customers/Day
Gross Revenue	Rs 2,08,000	Rs 3,12,000
Food Cost (32%)	- Rs 66,560	- Rs 99,840
Rent	- Rs 25,000	- Rs 25,000
Staff Salaries (2 persons)	- Rs 22,000	- Rs 22,000
Utilities + Packaging + Misc	- Rs 18,000	- Rs 22,000

Delivery Platform Commission	- Rs 8,000	- Rs 12,000
NET MONTHLY PROFIT	Rs 68,440	Rs 1,31,160
Net Margin	33%	42%
Typical Breakeven	Month 4-6	Month 3-4

The business model works. A 300 sqft chai cafe at 80 customers a day in a Tier 2 city generates Rs 68,000 net per month. Scale to 120 customers and you are past Rs 1.3 lakh. That is the TeaPost starting point — one outlet, one city, one focused menu.

02. THE STEPS

This is what you actually do in the first 90 days. Most people overthink the concept and underprepare the operations. Reverse that.

Week	Phase	What You Do	Milestone
1-2	Location Scout	Visit 10 potential locations. Count footfall manually for 1 hour at 3 times of day (8 AM, 1 PM, 6 PM). Minimum 200 people passing per hour. Ground floor only. Near college, office, or hospital.	3 shortlisted locations.
3-4	Legal & Lease	Negotiate lease — push for 5% annual rent escalation cap. Apply for FSSAI, GST, Shop & Establishment Act, and Fire NOC simultaneously, not one at a time. Budget 4-6 weeks for processing.	Lease signed. All license applications filed.
5-6	Fit-out	Get 3 quotes. Choose Rs 1,000-1,500 per sqft option. Buy second-hand furniture on OLX — saves 40%. Prioritise function over aesthetics in phase 1. You can upgrade after month 6.	Fit-out complete. Equipment installed.
7-8	Menu & Brand	Maximum 12 items on the menu. Not 30. Price-test with 10 real people before you finalise. Logo via freelancer on Fiverr (budget Rs 5,000-10,000). Name should be simple and local.	Menu finalised. Brand identity done.
9-10	Tech & Hiring	Install Petpooja POS (Rs 12,000/year). List on Swiggy and Zomato before opening day — not after. Hire 1 helper at Rs 10,000-14,000/month. Train them for 2 full weeks before launch.	POS live. Delivery listings active. Staff trained.
11-12	Soft Launch	Invite 30-50 people — friends, family, 3-5 local food influencers — for a free tasting. Collect honest feedback. Fix every complaint you hear. Get 15+ Google reviews before hard launch.	15+ Google reviews. Complaints fixed.
13+	Hard Launch	Open publicly. Run a launch offer for 2 weeks (buy 2 get 1 free). Post daily on Instagram with location tag. Know your regulars by name. The first 20 regulars build the foundation.	First 100 customers. First week revenue logged.

- **Licenses needed:** FSSAI, GST registration, Shop & Establishment Act license, Fire NOC, Municipal Trade License. Total cost Rs 15,000-30,000. Apply all at once.
- **Essential tools:** Petpooja POS (billing + inventory), Swiggy + Zomato (delivery), Vyapar (accounting), WhatsApp Business (customer communication), Google My Business (local discovery). Total cost under Rs 20,000/year.
- **Franchise shortcut:** If this is your first F&B business, consider a TeaPost or Chai Sutta Bar franchise (entry from Rs 5L). You lose control of the menu but gain a proven playbook, vendor connections, and brand recognition from day 1.

03. THE RISKS

Most cafes that fail do not fail because of bad food. They fail because of the same four mistakes. Know them before you start.

Risk	Likelihood	What to Do About It
Wrong location	High	Count footfall yourself — do not trust the landlord or the broker. 200+ people per hour is the floor. A great product in a bad location will not survive past month 6.
Revenue stalls in months 1-3	Very High	Keep 3 months of operating costs in reserve before you open. Do not quit your job before you have 2 consecutive profitable months. Month 1 revenue is never Month 6 revenue.
Food cost exceeds 35%	Moderate	Track food cost weekly, not monthly. Small daily wastage compounds fast. Keep your menu tight — every new item adds complexity and waste. Negotiate with 2-3 vendors, not just one.
Key staff quits suddenly	High	Document every recipe and process from week 1. Train yourself to do every role in the cafe. Cross-train all staff. The business cannot depend on one person who is not you.
Landlord terminates lease	Low-Moderate	Get written subletting permission before signing anything. Sign a minimum 3-year lease. Build a personal relationship with the landlord from day 1. Do not default on rent ever.
100% dependent on Swiggy/Zomato	Certain	Commission is 15-25% per order and rising. Build direct ordering via WhatsApp for your regulars from month 3. A 200-person WhatsApp broadcast list for daily specials can replace Rs 20,000 in platform commissions.

The Bottom Line

A lean chai cafe in a Tier 2 Indian city at 80 customers a day generates Rs 68,000 net per month. That is a real business. TeaPost started with exactly this in Rajkot in 2013 and now has 250 outlets across 60 cities. The market exists. The question is execution.

Pick the right city. Keep the menu tight. Build regulars before you chase new customers. Treat operations like a professional from day one.

Comment CAFE on @iamsatyavyas for this guide in your DMs.